

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE SENATE

SENATE BILL NO. 1444

BY FINANCE COMMITTEE

AN ACT

RELATING TO THE APPROPRIATION TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM; APPROPRIATING ADDITIONAL MONEYS TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF STUDENT SUPPORT FOR FISCAL YEAR 2027; CLARIFYING THE ORIGINAL FUND SOURCE FOR ADDITIONAL EXPENDITURES FOR THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF STUDENT SUPPORT FOR FISCAL YEAR 2027; REDUCING THE APPROPRIATION TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF STUDENT SUPPORT FOR FISCAL YEAR 2027; REDUCING THE TRANSFER FROM THE GENERAL FUND TO THE PUBLIC SCHOOL INCOME FUND; CLARIFYING THE ORIGINAL FUND SOURCE FOR REDUCED EXPENDITURES FOR THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF STUDENT SUPPORT FOR FISCAL YEAR 2027; REDUCING THE PER-SUPPORT UNIT DISCRETIONARY DISTRIBUTION FOR FULLY VIRTUAL SCHOOLS FOR FISCAL YEAR 2027; REDUCING TRANSPORTATION REIMBURSEMENTS FOR FISCAL YEAR 2027; PROVIDING FOR REPORTING ON VIRTUAL ENROLLMENTS AND ATTENDANCE; PROVIDING FOR THE TRANSFER AND ALTERNATIVE DISTRIBUTION OF ENGLISH LANGUAGE LEARNER FUNDS; AMENDING SECTION 27, AS ADDED BY SENATE BILL NO. 1362, IF ENACTED BY THE SECOND REGULAR SESSION OF THE SIXTY-EIGHTH IDAHO LEGISLATURE, TO REVISE TECHNOLOGY CURRICULUM REQUIREMENTS; PROVIDING FOR A REPORT ON SPECIAL EDUCATION REVENUES AND EXPENDITURES; PROVIDING FOR CONDITIONS, LIMITATIONS, AND RESTRICTIONS; APPROPRIATING ADDITIONAL MONEYS TO THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF STUDENT SUPPORT FOR FISCAL YEAR 2026; CLARIFYING THE ORIGINAL FUND SOURCE FOR ADDITIONAL EXPENDITURES FOR THE PUBLIC SCHOOLS EDUCATIONAL SUPPORT PROGRAM'S DIVISION OF STUDENT SUPPORT FOR FISCAL YEAR 2026; AND DECLARING AN EMERGENCY AND PROVIDING EFFECTIVE DATES.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. In addition to any other appropriation provided by law, there is hereby appropriated to the Public Schools Educational Support Program's Division of Student Support the following amounts to be expended according to the designated programs from the listed funds for the period July 1, 2026, through June 30, 2027:

I. OPERATIONS DIVISION:

FROM:

Public School Income Fund

\$4,141,200

II. CHILDREN'S PROGRAMS DIVISION:

FROM:

Federal Grant Fund	<u>7,800,000</u>
TOTAL	\$11,941,200

SECTION 2. Of the additional amounts appropriated in Section 1 of this act for the Public Schools Educational Support Program's Division of Student Support, the following amounts shall be considered expended from the listed funds for the period July 1, 2026, through June 30, 2027:

FROM:

Public School Endowment Income Fund	\$4,141,200
Federal Grant Fund	<u>7,800,000</u>
TOTAL	\$11,941,200

SECTION 3. Notwithstanding any other provision of law to the contrary, the appropriation made to the Public Schools Educational Support Program's Division of Student Support is hereby reduced by the following amounts from the designated programs from the Public School Income Fund for the period July 1, 2026, through June 30, 2027:

FROM:

Administrators Division	\$1,767,300
Operations Division	7,141,200
Children's Programs Division	<u>843,100</u>
TOTAL	\$9,751,600

SECTION 4. Notwithstanding any other provision of law to the contrary, the transfer made from the General Fund to the Public School Income Fund in Section 32 of Senate Bill No. 1362, if enacted by the Second Regular Session of the Sixty-eighth Idaho Legislature, is hereby reduced by \$9,751,600 for the period July 1, 2026, through June 30, 2027.

SECTION 5. Of the amounts reduced in Section 3 of this act from the Public Schools Educational Support Program's Division of Student Support, \$9,751,600 shall be reduced from the amounts considered expended from the General Fund for the period July 1, 2026, through June 30, 2027.

SECTION 6. VIRTUAL SCHOOL BUDGET REDUCTION. Notwithstanding Section 10 of Senate Bill No. 1362, if enacted by the Second Regular Session of the Sixty-eighth Idaho Legislature, for the period July 1, 2026, through June 30, 2027, the distribution factor for discretionary funds for fully virtual schools shall be \$19,723 per support unit.

SECTION 7. TRANSPORTATION FUNDING. Notwithstanding Section 33-1006, Idaho Code, and any other law to the contrary, for the period July 1, 2026, through June 30, 2027, the total moneys paid to school districts and charter schools for eligible transportation costs shall be reduced by \$7,500,000.

1 The State Department of Education shall adjust the distribution proportion-
2 ately across all eligible schools.

3 SECTION 8. VIRTUAL ENROLLMENT AND ATTENDANCE REQUIREMENTS. School dis-
4 tricts and public charter schools not authorized as a public virtual school
5 that provide instruction to students through an online platform for any
6 class, excluding those offered through the Idaho Digital Learning Academy,
7 shall report to the State Department of Education and the Office of the State
8 Board of Education which classes are online-based and the number of stu-
9 dents enrolled in and attendance of students for each online class. School
10 districts and public charter schools that offer classes through an online
11 option must register those programs as virtual buildings in the Idaho System
12 for Education Excellence longitudinal data system and record the students in
13 those buildings accordingly.

14 SECTION 9. ENGLISH LANGUAGE LEARNER DISTRIBUTIONS. For the period July
15 1, 2026, through June 30, 2027, only, of the moneys appropriated in Section
16 5 of Senate Bill No. 1362, if enacted by the Second Regular Session of the
17 Sixty-eighth Idaho Legislature, and set to be distributed pursuant to Sec-
18 tion 26 of Senate Bill No. 1362, if enacted by the Second Regular Session of
19 the Sixty-eighth Idaho Legislature, \$2,250,000 shall instead be transferred
20 one time from the Central Services Division to the Children's Programs Di-
21 vision by the State Department of Education and distributed pursuant to the
22 requirements in Section 17 of Senate Bill No. 1362, if enacted by the Second
23 Regular Session of the Sixty-eighth Idaho Legislature.

24 SECTION 10. That Section 27 as added by Senate Bill No. 1362, if enacted
25 by the Second Regular Session of the Sixty-eighth Idaho Legislature, be, and
26 the same is hereby amended to read as follows:

27 SECTION 27. CONTENT AND CURRICULUM -- TECHNOLOGY. Of the mon-
28 eys appropriated in Section 5 of this act, an amount not to exceed
29 \$1,570,000 from the Public School Income Fund may be expended by the
30 State Department of Education to contract for services that pro-
31 vide technology education opportunities and/or information tech-
32 nology certifications to students, including faculty that prepare
33 students for college, career, or the workplace. Funding shall be
34 awarded for projects that include ~~three~~ two or more of the following
35 components:

- 36 (1) Certification of skills and competencies;
- 37 (2) Professional development for teachers;
- 38 (3) Integration with curriculum standards;
- 39 (4) Online access to research-based content and curriculum; or
- 40 (5) Instructional software for classroom use.

41 The State Department of Education shall provide a report to the
42 Joint Finance-Appropriations Committee, the Senate Education Com-
43 mittee, and the House Education Committee by January 5, 2027, re-
44 garding the number and type of certificates earned by students and
45 faculty.

1 SECTION 11. SPECIAL EDUCATION DATA. The State Department of Education
2 shall compile and report aggregate information regarding special educa-
3 tion expenditures and Medicaid reimbursements for local education agencies
4 (LEAs) in Idaho. The report shall include, to the extent practicable un-
5 der federal guidelines and using existing data sources, the total special
6 education expenditures and revenues reported by LEAs, including state, lo-
7 cal, and federal funds, and the total Medicaid reimbursements received by
8 LEAs for special education services. To the extent practicable using ex-
9 isting data sources, the State Department of Education shall consult with
10 the Legislative Services Office Budget and Policy Analysis Division on ad-
11 ditional information to include in the report to best support legislative
12 decision-making. The department shall submit the report to the Joint Fi-
13 nance-Appropriations Committee and the Legislative Services Office Budget
14 and Policy Analysis Division no later than December 15, 2026.

15 SECTION 12. CONDITIONS, LIMITATIONS, AND RESTRICTIONS. Appropriations
16 made pursuant to this act are subject to the conditions, limitations, and re-
17 strictions specified in this act.

18 SECTION 13. In addition to the appropriation made in Section 2, Chap-
19 ter 43, Laws of 2025, and any other appropriation provided by law, there is
20 hereby appropriated to the Public Schools Educational Support Program's Di-
21 vision of Student Support \$7,800,000 from the Federal Grant Fund to be ex-
22 pended for the period July 1, 2025, through June 30, 2026.

23 SECTION 14. Of the additional amounts appropriated in Section 13 of
24 this act for the Public Schools Educational Support Program's Division of
25 Student Support, \$7,800,000 shall be considered expended from the Federal
26 Grant Fund for the period July 1, 2025, through June 30, 2026.

27 SECTION 15. An emergency existing therefor, which emergency is hereby
28 declared to exist, Sections 13 and 14 of this act shall be in full force and
29 effect on and after passage and approval, and Sections 1 through 12 of this
30 act shall be in full force and effect on and after July 1, 2026.